UNITED STATES OF AMERICA
Before the
SECURITIES AND EXCHANGE COMMISSION

ADMINISTRATIVE PROCEEDING
File No. 3-21987

In the Matter of

MARCHWOOD ASSET MANAGEMENT LLC,

Respondent.

ORDER INSTITUTING ADMINISTRATIVE AND CEASE-AND-DESIST PROCEEDINGS PURSUANT TO SECTIONS 203(e) AND 203(k) OF THE INVESTMENT ADVISERS ACT OF 1940 AND NOTICE OF HEARING

Date: February 8, 2024

I.

The Securities and Exchange Commission deems it appropriate and in the public interest that public administrative and cease-and-desist proceedings be instituted pursuant to Sections 203(e) and 203(k) of the Investment Advisers Act of 1940 against Marchwood Asset Management LLC ("Respondent").

II.

After an investigation, the Division of Enforcement alleges that:

A. Respondent

1. Marchwood Asset Management LLC is a Delaware limited liability company with its principal place of business in Philadelphia, Pennsylvania, registered with the Commission as an investment adviser since 2002 (File No. 801-64719). As of June 30, 2023 Respondent reported regulatory assets under management of approximately $713 million across 1,024 accounts.

B. The conduct

2. From at least March 2019 through September 2023 (the "relevant period"), Respondent's standard investment advisory agreement authorized Respondent to instruct a client's custodian to withdraw or transfer funds or securities from the client's account, including but not limited to Respondent's advisory fees. Respondent transmitted those instructions itself, through a third-party billing platform operating on Respondent's credentials, and custodians executed them without separate client authorization.
3. That arrangement was in force for 431 client accounts holding approximately $497 million.

4. By reason of the arrangement described above, Respondent had custody of client funds within the meaning of Rule 206(4)-2(d)(2)(ii) under the Advisers Act throughout the relevant period.
5. Because the authority described above was not limited to Respondent's advisory fee, the exception in Rule 206(4)-2(b)(3) was not available to Respondent. Respondent did not obtain a surprise examination by an independent public accountant for calendar year 2019, 2020, 2021 or 2022 as required by Rule 206(4)-2(a)(4), and no Form ADV-E was filed on Respondent's behalf for any of those years.
6. In each annual updating amendment to Part 1 of Form ADV filed during the relevant period, Respondent answered "No" to Items 9.A.(1)(a) and 9.A.(1)(b), which ask whether the adviser has custody of client cash or bank accounts and of client securities. The instruction to Item 9 permits a "No" answer where an adviser has custody solely because it deducts advisory fees directly from client accounts. Respondent's custody did not arise solely from that authority. Those responses were materially false.
7. Respondent's compliance policies and procedures in force during the relevant period contained no policy or procedure addressing custody, and Respondent's annual reviews for 2019 through 2022 did not test for custody.
8. Respondent was on notice of the requirements of Rule 206(4)-2 as applied to this arrangement. The Division will show that Respondent was informed of them in writing by the staff of the Commission's Philadelphia Regional Office in 2011, and that Respondent gave the staff a written undertaking in respect of them.

C. Violations

9. As a result of the conduct described above, Respondent willfully violated Section 206(4) of the Advisers Act and Rules 206(4)-2 and 206(4)-7 thereunder, and Section 207 of the Advisers Act.

III.

In view of the allegations made by the Division of Enforcement, the Commission deems it necessary and appropriate that public administrative and cease-and-desist proceedings be instituted to determine:

A. Whether the allegations set forth in Section II are true and, in connection therewith, to afford Respondent an opportunity to establish any defenses to such allegations;

B. What, if any, remedial action is appropriate in the public interest against Respondent pursuant to Section 203(e) of the Advisers Act;

C. Whether, pursuant to Section 203(k) of the Advisers Act, Respondent should be ordered to cease and desist from committing or causing violations of and any future violations of Section 206(4) and Section 207 of the Advisers Act and Rules 206(4)-2 and 206(4)-7 thereunder, whether Respondent should be ordered to pay disgorgement together with prejudgment interest, and whether, pursuant to Section 203(i) of the Advisers Act, Respondent should be ordered to pay a civil penalty.

IV.

A public hearing shall be convened before an administrative law judge in accordance with the Commission's Rules of Practice. The Commission designates this proceeding as a 120-day proceeding pursuant to Rule 360(a)(2) of the Commission's Rules of Practice, and directs that the hearing be convened not earlier than 30 days and not later than 60 days from service of this Order. Respondent shall file an Answer within twenty days of service of this Order.

By the Commission.